

Model Prep Guide

Everything to pull together before you sit down to build your school's 5-year financial plan.

Most founders walk into the model wizard and bounce back out because they don't have the numbers in front of them. This guide lays out — step by step, in the same order as the wizard — exactly which documents to gather and which decisions to have an opinion on. Print it, mark it up, and bring it with you when you sit down to build. You don't need every answer to start; smart defaults and "I don't know yet" options are everywhere. But the more of this you have ready, the faster the build goes and the stronger your model will be.

Print on letter-size paper. Reads cleanly in black & white.

At a glance — one-page checklist

Tear this page off and tape it next to your computer. The rest of the guide walks each section in detail.

Before you start

- ☐ About an hour of focused time
- ☐ A folder (digital or paper) with the documents below
- ☐ Your best estimates — exact numbers can come later

Documents to have nearby

- ☐ Lease or LOI for your facility (or a rent estimate)
- ☐ Most recent payroll register or staffing plan
- ☐ Last year's P&L and balance sheet (if already operating)
- ☐ Loan term sheet or quote (if you're financing capital)
- ☐ Any grant award letters, ESA / voucher rules, per-pupil rates

Decisions to have an opinion on

- ☐ Year-1 enrollment target by grade
- ☐ Tuition (and any sibling / financial-aid discounts)
- ☐ Founder + leadership salaries (market rate)
- ☐ Teacher salary band and student-to-teacher ratio
- ☐ How much capital you're putting in vs. borrowing

What's inside

Sections follow the wizard in order. Skip the "Already Operating" section if your school hasn't opened yet.

1. **Story**
2. **School Details**
3. **Enrollment**
4. **Revenue**
5. **Staffing**
6. **Expenses**
7. **Capital & Financing**
8. **Assumptions**
9. **Actuals Intake**
(Already operating — skip if you haven't opened yet)
10. **Review & Export**

STEP 1

Story — what kind of school you're building

Five plain-language questions about the school: type, name, who it's for, and where you are in your launch journey. No numbers required. This is what every coaching tip the wizard shows later keys off, so it's worth doing thoughtfully.

The screenshot shows the SchoolStack Budget wizard interface. At the top, there's a header with the SchoolStack Budget logo, navigation links for Solutions, Dashboard, and a user profile (PC). Below the header, the current step is 'Bright Horizons Microschool' with a 'Built from assumptions' tag. A progress bar shows 12 steps: 1. STORY, 2. SCHOOL DETAILS, 3. ENROLLMENT, 4. REVENUE, 5. STAFFING, 6. EXPENSES, 7. CAPITAL & FINANCING, 8. ASSUMPTIONS & SENSITIVITY, 9. REVIEW, 10. CONSULTANT, 11. LENDER NARRATIVE, and 12. EXPORT. The 'STORY' step is highlighted. Below the progress bar, the main content area has a heading 'Let's start with your school's story' and a subtext 'Before we touch any numbers, tell us about the school you're building. A good budget starts with a clear story - everything else flows from there.' There are two main options: 'We're already operating' (green box) and 'We're launching' (blue box). A 'What-If' button is on the right. A 'Why we ask this first' section explains that the story helps lenders and board members understand the numbers.

What this step looks like in the wizard.

Documents & records to gather

- ☐ A working name for the school (you can change it later)
- ☐ A one-sentence description of the model you're building
- ☐ Notes on which families you're serving and what makes the school different

Numbers & decisions to have ready

- ☐ School type: charter, private, microschool, pod, co-op, or tutoring center
- ☐ Where you are: still planning, opening soon, or already operating
- ☐ Whether you're a sole practitioner, LLC, partnership, or 501(c)(3)
- ☐ Your comfort level with financial modeling (Guided Builder vs. CFO Mode)

Tip

If you're already operating, the wizard will offer an "Actuals Intake" step right after this one. Skip ahead to that section of the guide to see what to bring.

STEP 2

School Details — the basics

State, opening year, fiscal-year start, and building capacity. The wizard uses these to pick sensible defaults (per-pupil rates, payroll tax rules, calendar) so you're not starting from a blank sheet.

SchoolStack Budget Solutions ▾ Dashboard PC

Bright Horizons Microschool Built from assumptions

Guided Builder CFO Mode ✓ Prep guide Start Over Compact

1 2 3 4 5 6 7 8 9 10 11 12

STORY SCHOOL DETAILS ENROLLMENT REVENUE STAFFING EXPENSES CAPITAL & FINANCE ASSUMPTIONS & SENSITIVITY REVIEW CONSULTANT LENDER NARRATIVE EXPORT

What this means in your books
How this step shows up on your P&L, balance sheet, or cash flow.

Programs & Enrollment

Add each schedule you offer with its own tuition. Use the matrix below to assign students per grade/band per program.

Use the number of students you reasonably expect, not your dream number. If you have deposits, signed agreements, or returning students, use those as your anchor.

How this connects to revenue. The number of students you enroll sets the capacity of your school. The next step turns that into revenue — what you charge per seat, and who actually pays for the seat (families, ESA, voucher, charter funding, or scholarship). Capacity here, seat price and payer next.

I don't have programs mapped out yet - start me with one
We'll add a single 'Full Day' program seeded for your school type. You can rename it, split it, or add more later.

What programs does your microschool offer?

What-if

What this step looks like in the wizard.

Documents & records to gather

- ☐ Articles of incorporation or LLC paperwork (for the entity type)
- ☐ Lease or LOI showing the building's permitted occupancy
- ☐ Your fiscal-year start month (most schools use July)

Numbers & decisions to have ready

- ☐ What state the school is in
- ☐ Year you plan to open (or current operating year)
- ☐ Maximum capacity of your building once fully built out
- ☐ Whether Year 1 is a partial year (and if so, how many operating months)

STEP 3

Enrollment — students by grade and year

The single biggest driver of every other number in the model. The wizard lets you enter enrollment by grade and ramp it across five years, so this is the place to be honest about how fast you can really fill seats.

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Compact

1 2 3 **4** 5 6 7 8 9 10 11 12

STORY SCHOOL DETAILS ENROLLMENT **REVENUE** STAFFING EXPENSES CAPITAL & FINANCING ASSUMPTIONS & SENSITIVITY REVIEW CONSULTANT LENDER NARRATIVE EXPORT

What this means in your books
How this step shows up on your P&L, balance sheet, or cash flow.

Revenue by Source - Opening 5 Years

Enter the amounts you expect for each year of your opening plan. We've pre-filled typical starting points for a school like yours - adjust them to match your concept.

Enter the annual amount per student or annual fixed amount. The model will do the multiplication.

AZ Funding Overview
AZ offers: Education Savings Account (ESA): \$7,000-\$8,000/student; Tax-Credit Scholarship: \$2,000-\$5,000/student. I'd recommend verifying eligibility requirements with your state - amounts shown are estimates and may vary. We keep this data updated, but always confirm before building your model around it. - SchoolStack Team

ⓘ Enrollment growth rate and tuition escalation are configured on the [Assumptions step](#).

Revenue mix by source Year 1 - \$5,000

What-If ⓘ

What this step looks like in the wizard.

Documents & records to gather

- ☐ Waitlist or interest-list counts, if you have them
- ☐ Demographic data on school-age children in your service area
- ☐ Notes from any open houses, info sessions, or family interviews

Numbers & decisions to have ready

- ☐ Year-1 enrollment target, broken out by grade
- ☐ How many grades you'll serve in Year 1 (and which you'll add in Years 2-5)
- ☐ A realistic re-enrollment / retention rate from year to year
- ☐ Class-size cap or student-to-teacher ratio you're committed to

Tip

Lenders and boards will probe your enrollment ramp harder than any other input. Be ready to defend it.

STEP 4

Revenue — tuition, funding, grants, donations

Every dollar coming in: tuition, ESA / voucher payments, charter per-pupil funding, grants, donations, ancillary fees. The wizard handles discount tiers (sibling, financial aid) and collection timing too, so bring your real pricing schedule if you have one.

The screenshot shows the SchoolStack Budget wizard interface. At the top, the logo "SchoolStack Budget" is on the left, and "Solutions", "Dashboard", and "PC" are on the right. Below the header, a progress bar shows 12 steps: 1. STORY, 2. SCHOOL DETAILS, 3. ENROLLMENT, 4. REVENUE, 5. STAFFING, 6. EXPENSES, 7. CAPITAL & FINANCE, 8. ASSUMPTIONS & SENSITIVITY REVIEW, 9. CONSULTANT, 10. LENDER NARRATIVE, 11. EXPORT, and 12. (unlabeled). Step 5, STAFFING, is highlighted. Above the progress bar, there are buttons for "Guided Builder", "CFO Mode", "Prep guide", and "Start Over". Below the progress bar, a large white box contains the following content:

- What this means in your books**
How this step shows up on your P&L, balance sheet, or cash flow.
- You're more than halfway there**
Most of the hard thinking is done. The next steps are about reviewing what you've built and making it stronger.
- Tell Us About Your Leadership and Staff**
Add every person on your team - full-time, part-time, and contract. Include teachers, leaders, support staff, and contractors. We'll calculate total personnel costs automatically. It's okay to start small - many great schools launch with just a founder and one or two team members.
Include the people actually doing the work. If the founder is unpaid at first, show when founder pay begins so the model reflects long-term sustainability.
- Year 1 roster** - 7 → 7 students over 5 years. Typical ratio: 1:8-1:12.
This is the team you plan to open with, but your enrollment is projected to grow to 7 students by Year 5. The COLA rate you set in Assumptions will increase these salaries automatically each year.
Typical staffing benchmark for microschool: 2-4 staff for 15-25 students.

On the right side of the wizard, there is a "What-If" button and a green circular button with a camera icon.

What this step looks like in the wizard.

Documents & records to gather

- ☐ Your published or proposed tuition schedule (with discounts)
- ☐ Per-pupil funding rates for your state (charter)
- ☐ ESA / voucher amounts and eligibility rules (if applicable)
- ☐ Grant award letters or pledges from named donors
- ☐ A copy of your fundraising plan or development calendar

Numbers & decisions to have ready

- ☐ Tuition rate per student (or by grade band)
- ☐ Financial-aid discount: percent of families and average award
- ☐ Sibling discount, if you'll offer one
- ☐ Realistic tuition collection rate (95-98% is typical)
- ☐ Any non-tuition revenue: aftercare, summer programs, fees

STEP 5

Staffing — every role, every salary

Teachers, leadership, admin, support staff, contractors. The wizard tracks each role's FTE, salary, benefits, and payroll tax. Staffing is usually 50-70% of total spending, so getting this section honest is what separates a model that survives from one that doesn't.

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Bright Horizons Microschool Built from assumptions

Guided Builder **CFO Mode** ▾ Prep guide Start Over

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STORY SCHOOL DETAILS ENROLLMENT REVENUE STAFFING EXPENSES CAPITAL & FINANCING ASSUMPTIONS & SENSITIVITY REVIEW CONSULTANT LENDER NARRATIVE EXPORT

What this means in your books
How this step shows up on your P&L, balance sheet, or cash flow.

You're more than halfway there
Most of the hard thinking is done. The next steps are about reviewing what you've built and making it stronger.

Expenses & Operations

First, a few quick questions about your business operations. Then we'll review your expense details.

Include costs you must pay even if enrollment is lower than expected, especially rent, insurance, software, payroll, and professional services.

Smart Escalation Applied - Inflation 2.5% - Rent 3% [Adjust](#)

Costs escalate realistically: leases follow contract terms, vendor costs rise with inflation, per-student expenses scale with enrollment. You can override any year.

Keep facility costs between 15-25% of revenue. Above 30% can crowd out staffing and programs.

[What-If](#)

[Common costs schools forget](#) - quick-check items you may be missing

What this step looks like in the wizard.

Documents & records to gather

- ☐ Your most recent payroll register (if operating)
- ☐ Salary benchmarks for teachers in your area (state DOE data, NAIS, NCES)
- ☐ Benefits quote: health, dental, retirement match
- ☐ Job descriptions for any roles you haven't hired yet

Numbers & decisions to have ready

- ☐ Founder / head-of-school salary at market rate (not founder discount)
- ☐ Teacher salary band — starting salary and top of scale
- ☐ Number of teachers in Year 1, plus any aides or specials staff
- ☐ Admin and operations roles you'll need (registrar, ops manager, etc.)
- ☐ Benefits load: usually 18-25% on top of base salary
- ☐ Annual raise assumption (3% is typical)

Tip

Pay yourself a real salary in the model even if you plan to defer it in Year 1. A model that only works because the founder works for free is not a viable model.

STEP 6

Expenses — facility, operations, instruction

Everything that isn't payroll: rent, utilities, curriculum, technology, insurance, marketing, professional services. The wizard groups these into facility, instruction, operations, and other so the categories match how lenders read a P&L.

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Compact

1 2 3 4 5 6 **7** 8 9 10 11 12

STORY SCHOOL DETAILS ENROLLMENT REVENUE STAFFING EXPENSES **CAPITAL & FINANCING** ASSUMPTIONS & SENSITIVITY REVIEW CONSULTANT LENDER NARRATIVE EXPORT

What this means in your books
How this step shows up on your P&L, balance sheet, or cash flow.

Capital & Financing

If you're financing facilities, equipment, or working capital with debt, set the loan terms and lender covenants here. Skip the details if you have no loan - your model still builds without one.

Annual profit does not always mean you have enough cash each month. Watch for months when expenses arrive before revenue.

Debt Terms
Loan parameters that flow into your debt service projections and balance sheet.

Loan Amount

Total principal amount. Generates annual debt service payments on the Expenses step.

Annual Interest Rate
 %
Annual rate on outstanding loan balance. Used to calculate monthly/annual debt service payments.

Loan Term
 years
Number of years to fully amortize the loan. Drives the annual payment schedule.

What-If

Debt service payments are automatically computed and included in the Expenses step when a loan is configured.

What this step looks like in the wizard.

Documents & records to gather

- ☐ Lease or LOI showing rent + NNN (taxes, insurance, maintenance)
- ☐ Utility estimates from your landlord or comparable buildings
- ☐ Curriculum quotes from your chosen publishers
- ☐ Insurance quote: general liability, property, D&O, workers' comp
- ☐ Marketing plan with proposed channels and spend

Numbers & decisions to have ready

- ☐ Monthly rent + NNN (or mortgage payment)
- ☐ Curriculum + instructional materials per student per year
- ☐ Technology cost per student (devices, software, internet)
- ☐ Marketing budget for the year
- ☐ Professional services: accounting, legal, audit, payroll provider
- ☐ Annual inflation assumption for non-salary costs (3% is typical)

STEP 7

Capital & Financing — how you'll fund the launch

Loans, lines of credit, founder capital, deferred founder pay, restricted gifts. The wizard turns this into the debt-service and DSCR (Debt Service Coverage Ratio) numbers a lender will ask about first.

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STORY SCHOOL DETAILS ENROLLMENT REVENUE STAFFING EXPENSES CAPITAL & FINANCE ASSUMPTIONS & SENSITIVITY REVIEW CONSULTANT LENDER NARRATIVE EXPORT

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Assumptions & Sensitivity

The dial-tuning step. Your enrollment, revenue, staffing, expense, and capital decisions are already in. Use this screen to adjust the rates, escalators, and structural settings that stress-test your 5-year model.

> **Why assumptions matter** - every projection flows from the rates you set here.

Revenue Drivers [Reset to defaults](#)
Rates and settings that determine how revenue is projected across the 5-year model.

Tuition Escalation Rate
3 %
Applied to all tuition programs, compounding each year. A 3% annual increase on \$10,000 tuition becomes \$10,300 in Year 2 and \$10,609 in Year 3.

[What-If](#)

What this step looks like in the wizard.

Documents & records to gather

- ☐ Loan term sheet or quote (amount, rate, term, amortization)
- ☐ Donor pledge agreements for any restricted capital gifts
- ☐ Personal financial statement, if you're guaranteeing the loan
- ☐ Build-out / leasehold improvement quotes from your contractor

Numbers & decisions to have ready

- ☐ Total capital needed before opening day
- ☐ How much you're putting in personally vs. borrowing
- ☐ Loan amount, interest rate, term in years
- ☐ DSCR target your lender will require (1.20-1.30 is common)
- ☐ Whether you'll need a line of credit for working capital
- ☐ Any restricted gifts (carve-outs that can't fund operations)

Tip

Restricted gifts can't legally cover operating costs or debt service. Keep them separate in your head before you enter them.

STEP 8

Assumptions & Sensitivity — what could go wrong

Every key driver — enrollment, tuition, salaries, rent — has an assumption row where you flag your confidence and attach evidence. The wizard then runs sensitivity scenarios so you can see what happens if reality is 10-20% off.

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Bright Horizons Microschool [Built from assumptions](#)

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Compact

1 2 3 4 5 6 7 8 **9** 10 11 12

STORY SCHOOL DETAILS ENROLLMENT REVENUE STAFFING EXPENSES CAPITAL & FINANCE ASSUMPTIONS & SENSITIVITY REVIEW CONSULTANT LENDER NARRATIVE EXPORT

What this means in your books
How this step shows up on your P&L, balance sheet, or cash flow.

Does Everything Look Right?

[Simple Summary](#) [CFO Detail](#)

Review your inputs before we run the numbers. You can go back and make changes anytime. Remember, this is your first draft - every version of your budget gets stronger.

Items that need your attention (3 items)

NEEDS ATTENTION
I'm seeing cash go negative in Year 1
Your projected ending cash drops below zero in Year 1. That means the school wouldn't be able to cover its bills. We see this a lot in early drafts, so don't worry - it's fixable.

WHAT IF: RAISE REVENUE 5%
A 5% revenue increase adds ~+\$208/year. Cash trough improves from -\$948K to -\$946K. Check that tuition stays competitive in your market.

NEXT STEP
Open Step 7: Expenses and trim 146K of cost from Year 1, or revisit Step 4: Enrollment to add a revenue source.

I'd start by reviewing your revenue assumptions or trimming expenses so cash stays positive every year. Even small timing adjustments can make a big difference.

[Go to Expenses](#) →

[What-If](#)

What this step looks like in the wizard.

Documents & records to gather

- ☐ Source documents for any number you'll mark as "high confidence" (a signed lease, a state per-pupil rate sheet, a payroll register)
- ☐ Notes on which numbers are still estimates vs. firm

Numbers & decisions to have ready

- ☐ For each major driver: high / medium / low confidence
- ☐ Which downside scenarios you want to stress-test ("enrollment 20% short", "lose a grant", "rent +15%")
- ☐ Your own DSCR / cash-runway thresholds for "acceptable risk"

STEP 9

Actuals Intake — only if you're already operating

ALREADY OPERATING — skip this section if you haven't opened yet

Skip this if you haven't opened yet. If you have, the wizard pulls your prior-year actuals (from a P&L upload or manual entry) and uses them to seed Year 1 — so your projections start from real history instead of a blank slate.

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Bright Horizons Microschool Built from assumptions

Guided Builder **CFO Mode** ✓ Prep guide Start Over

Compact

1 STORY 2 **SCHOOL DETAILS** 3 ENROLLMENT 4 REVENUE 5 STAFFING 6 EXPENSES 7 CAPITAL & FINANCE 8 ASSUMPTIONS & SENSITIVITY REVIEW 9 CONSULTANT 10 LENDER NARRATIVE 11 EXPORT 12

What this means in your books
How this step shows up on your P&L, balance sheet, or cash flow.

Tell Us About Your School

We'll tailor everything to your school's type, stage, and structure. There are no wrong answers here - just tell us where you are today, and we'll meet you there.

What's the name of your school?

Bright Horizons Microschool

School Type

Microschool

Model Duration

5-Year Projection (recommended for lenders & boards) Locked

5-Year models cannot be downgraded to single-year because the seeded Y2-Y5 inputs, scenarios, decision history, and any already-issued lender/board exports would no longer match the model. Start a new model from /model/new if you need a single-year budget.

State

City / Municipality (optional)

What-If

What this step looks like in the wizard.

Documents & records to gather

- ☐ Last fiscal year's profit & loss statement (P&L)
- ☐ Last year's balance sheet — especially cash on hand, restricted vs. unrestricted
- ☐ Last year's payroll summary by role
- ☐ Last year's enrollment count by grade as of October 1 (or your state's audit date)
- ☐ Bank statements or accounting export covering the last 12 months

Numbers & decisions to have ready

- ☐ Which prior fiscal year you're using as the baseline
- ☐ Whether to upload a QuickBooks / Xero export or enter line items manually
- ☐ How to allocate any one-time items (startup grants, capital campaigns) so they don't distort Year 1 trends

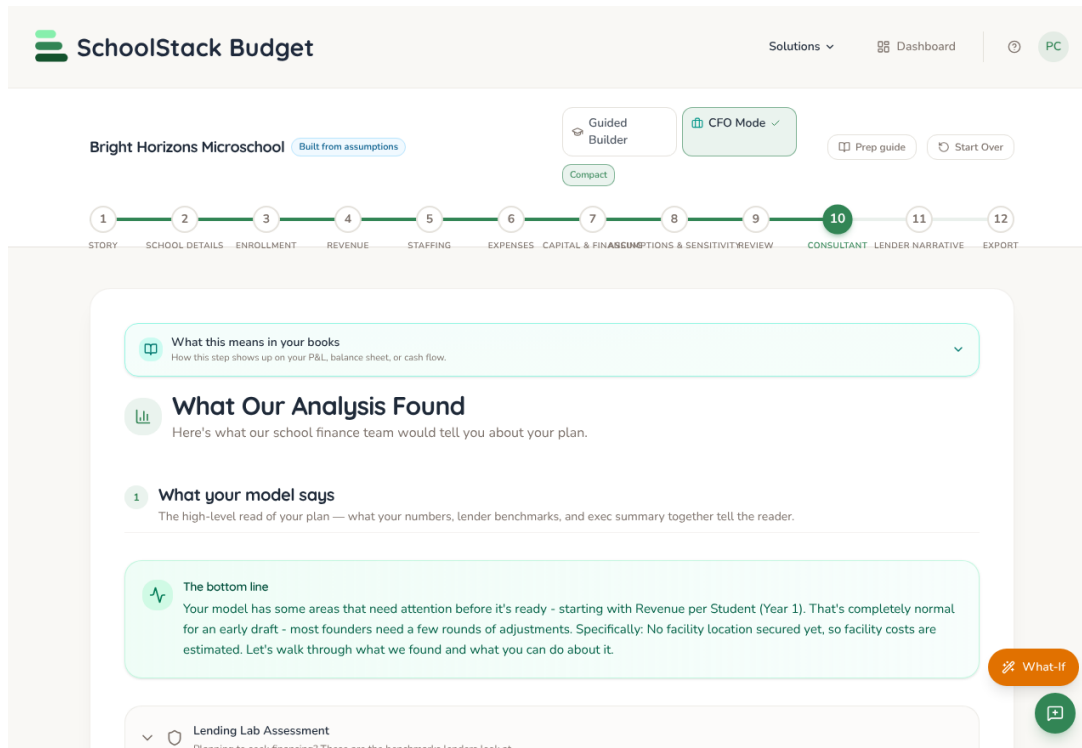
Tip

If you have a bookkeeper, ask them to send the trial balance or a categorized P&L — it's the single fastest way through this step.

STEP 10

Review & Export — what you'll walk away with

The last screen of the wizard. You'll see consultant-style analysis, a lender-narrative draft, and the export options: Lender Conversation Snapshot PDF, Board & Funder Summary PDF, a 23-tab Founder Planning Workbook, and a 5-Year Financial Model with live Excel formulas. You can also generate a shareable read-only link.



What this step looks like in the wizard.

Documents & records to gather

- ☐ Your contact info for any expert review you want to request
- ☐ A short list of the lenders / board members / funders you'll share the model with

Numbers & decisions to have ready

- ☐ Which exports you actually need (lender packet vs. board packet vs. workbook)
- ☐ Whether to request the free expert review from the SchoolStack team
- ☐ Whether to publish a read-only share link or keep the model private

Tip

Plan to come back to the wizard after every real-world change — a new lease, an actual enrollment count, a hire. Your budget is a living document.

Ready when you are.

You don't need every box on every page checked to start. The wizard will save your progress and let you come back as new information arrives — a signed lease, an actual enrollment count, a real payroll register. The first pass is the hardest; every pass after that is just refinement.

When you're ready, head to budget.schoolstack.ai and start a new model. Coaching tips appear right next to each input, so you're never guessing alone.

Free during beta. Your data stays yours. Built by The Building Hope Impact Fund.